

The focus during Financial statement analysis is on the company's financial performance and reporting alone. Qualitative or Subjective data like Management Commentary and Industry Reports are given secondary preference -just to understand the financial numbers better.

Apart from understanding the performance, FSA also helps us identify:



If the company's financial statements are manipulated.



Do they make economic sense??

Remember, the ultimate aim of FSA is to make key decisions. However, if the statements are incorrect, the decisions made based on them will also be inaccurate.

Here is where forensic accounting comes into the picture.

It is a separate branch of analysis that determines if the financials are manipulated. It involves detailed breakdown of every component to gain an in-depth understanding.

Forensic Accounting is a completely different subject and that is beyond the scope of this book. However, we will discuss certain red flags that help us identify potential manipulation.

